

How little, it will perhaps be agreed, was either original or otherwise remarkable about this history. Prices driven up by the expectation that they would go up, the expectation realized by the resulting purchases. Then the inevitable reversal of these expectations because of some seemingly damaging event or development or perhaps merely because the supply of intellectually vulnerable buyers was exhausted. Whatever the reason (and it is unimportant), the absolute certainty, as earlier observed, is that this world ends not with a whimper but with a bang.

In the aftermath of the crash, there were two other predictable developments. John Law, living out his last and dismal years in Venice, may have been more fortunate in his fate than the great financial wizards of the 1920s. Charles Mitchell and Albert Wiggin were both peremptorily sacked. Mitchell, deeply involved in the market, spent much of the next decade in court defending himself against income tax evasion charges. He had unloaded his depreciated stock on his possibly unsuspecting wife and taken a major capital-loss deduction. On the criminal charges he eventually won acquittal, but he faced heavy civil charges and payments. Wiggin, also a large operator and heavily short in the stock of his own bank, was denied his pension. Cutten, Meehan, and Sell 'Em Ben Smith were called before congressional committees. Cutten suffered from acute amnesia; Meehan, when summoned, absent-mindedly went abroad but soon came back and apologized. Richard Whitney went to Sing Sing for embezzlement. In Paris in 1932, Ivar Kreuger, once a world-class financier, promoter, and speculator and now established as a major larcenist, went out one day, bought a pistol, and shot himself. Along with much else, he had been discovered to have counterfeited Italian government bonds—an undue manifestation of the freedom of the press. Irving Fisher lost millions and was rescued in a modest way by Yale. Two giants of the time, Joseph P. Kennedy and Bernard Baruch, were to share the rewards and lasting esteem that came from having gotten out early.

Predictable also in the ensuing explanations of events was the evasion of the hard reality. This was in close parallel with what had occurred in previous episodes and was to have remarkable, sometimes fanciful, replication in 1987 and after. The market in October 1929 was said only to be reflecting external influences. During the previous summer there had been, it was belatedly discovered, a weakening in industrial production and other of the few currently available economic indices. To these the market,